



GROWTH

July 2026 Report

On June 17, the Federal Reserve finished its latest meeting.

The result? Interest rates are staying the same - no cut. Wall Street expected that, but the Fed did signal what could be coming next for rates.

The signal: It hinted that rates are more likely to drift higher than to come down in the near future.

And this isn't just an American story.

- Over in Europe, the European Central Bank just nudged its rates up.
- Japan's central bank did the same.

Around the world, the rate cuts investors were counting on have stopped. Rates are high, they could stay high for a long time, and a few central banks are even nudging them upward.

This is where we've spotted a **Broad Market Shift:**

When central banks keep rates high for a long stretch, they punish any company that leans on cheap loans - even the healthy ones - dragging their stocks far below what the businesses are actually worth.

When rates rise, borrowing gets expensive, loans dry up, and investors bail on any company that needs cheap money to grow.

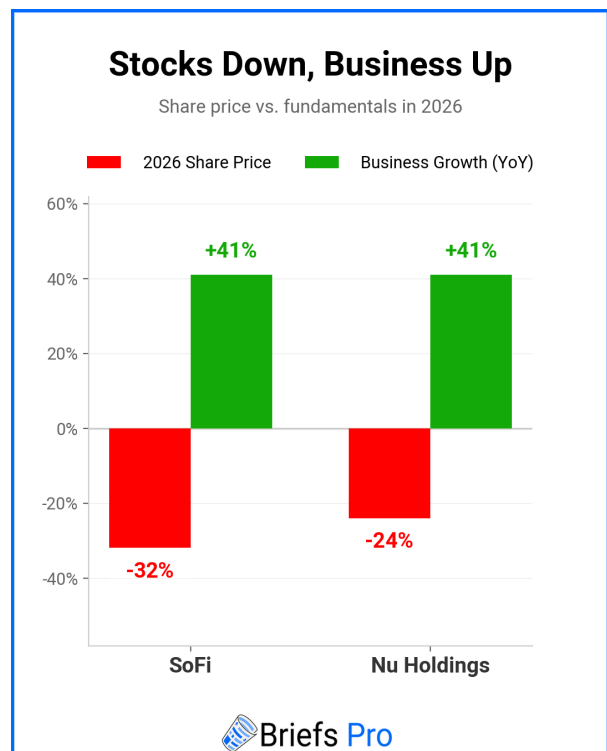
Usually, assets get dumped in a hurry - and sometimes that makes sense. Weak companies with no real path to profit fall.

But selloffs like this one drag down the good companies too - solid businesses that are simply doing their best to weather the storm.

That's exactly what's happening with two neobanks we picked up last year: Nu Holdings (NU) and SoFi (SOFI).

What's a neobank? These are digital-first banks that live mostly online, so there's usually no physical building or branch to walk into. Nu and SoFi are two of the largest in the world.

Most of the money these banks make comes from lending - and lending is glued to interest



Data via Briefs Terminal

rates. When rates stay high, three problems pile up at once:

- The bank has to pay more for the money it then loans out.
- Tighter approvals mean fewer customers get loans, so the bank does less business.
- Investors turn cautious and pay less for fast-growing companies in general.

A neobank takes all three punches at the same time - and when the whole group gets dumped at once, the strong names go down right alongside the weak ones.

But let's be clear: Rates set the mood here - they're not the whole story. SoFi got knocked by a cautious outlook and a short-seller, while Nu took its hit on worries about Brazil's cooling economy.

None of that changes why we like them: They're growing fast and earning real money. The selloff is simply the reason their stocks are cheap right now - and that's what turns two strong companies into a rare bargain.

The bottom line: Share prices and actual company results are headed in opposite directions - these companies are picking up speed while their stocks keep sinking.

Below, we break down what's happening and the two stocks our analysts are adding to our Growth Portfolio.

NU HOLDINGS (NU)

What's happening? Nu Holdings is a neobank built for everyday people across Latin America who never had solid banking choices before.

Brazil is its home base, with around 115 million users, followed by Mexico at about 15 million. All together, the customer count just topped 135 million.

Just how big has Nu become? Back when we wrote our last neobank report in April 2025, it had around 114 million customers worldwide.

It has since rocketed past 135 million - and it now ranks as one of the largest financial institutions in all of Brazil, standing toe-to-toe with banks that have run the country for generations.

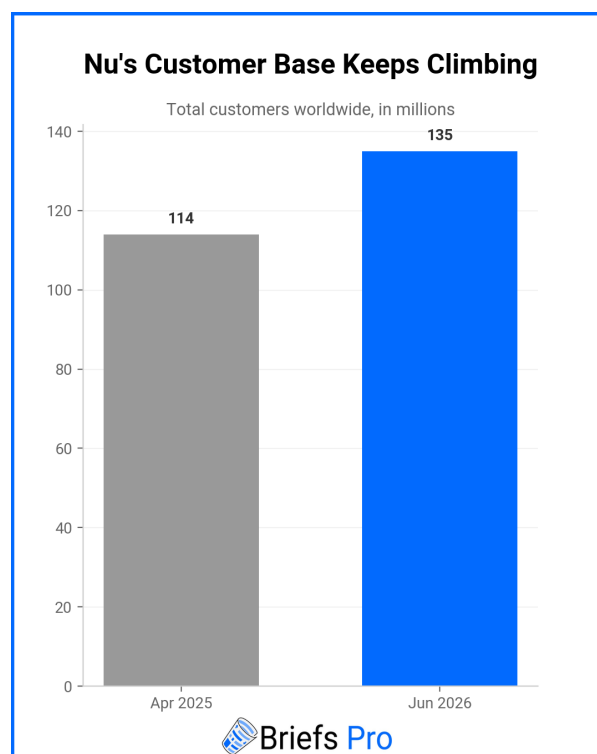
It has grown well beyond plain banking, too. Nu has added extras like travel booking and phone plans, all built for the regular customers it already serves.

And growth is only half the picture - its profits are climbing too. For the opening quarter of 2026, Nu brought in more than \$5 billion in sales, and profit landed at \$871 million, a 41% jump over the year before.

- Its return on equity (ROE) hit 29% - a level that rivals JPMorgan.

In simple terms, ROE shows how much profit a company wrings out of the cash its owners put in.

In short, the stock looks like a bargain for that kind of growth. It currently trades at about 14 times its earnings (its PE ratio), even as the business expands at nearly 40% a year.



Data via Nu's Investor Presentation

- As of June 2026, the average PE ratio for all S&P 500 companies is around 25.

So why are the shares off about 24% in 2026?

Brazil's economy has cooled off a little, and in May Nu had to stash away extra cash to cover loans that might not get repaid - which scared some investors out of the stock.

Our analysts read that as the price of growing fast in a developing market - not proof that something's broken. That 29% return is the giveaway.

What does that mean for growth investors?

The dip has little to do with how the business is actually performing - it's a discount on a company still cranking out bank-level profits.

Exit Trigger: Should that return on equity slip out of the high-20s, or should customer growth dry up, Nu's profits could take a hit and this opportunity could lose steam.



SOFI TECHNOLOGIES (SOFI)

SoFi is the U.S. side of the same story - a U.S.-based neobank that just reported a record quarter.

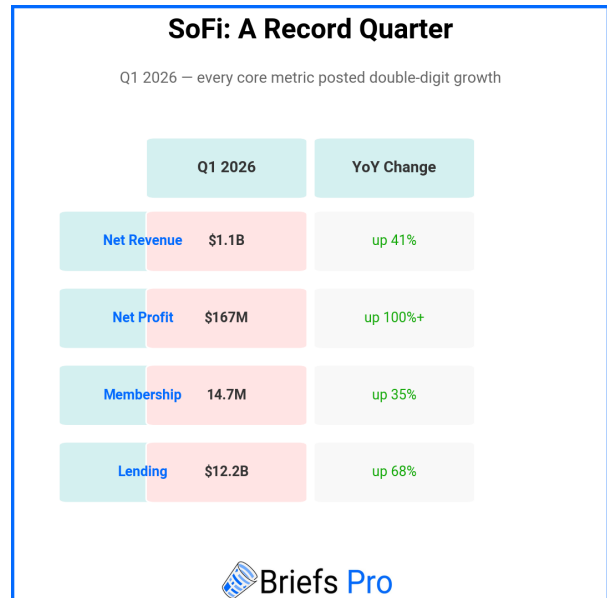
The scoreboard:

- Sales reached an all-time high of \$1.1 billion, a 41% gain.
- Profit climbed past double the year-ago level, to \$167 million.
- Membership shot up 35%, hitting 14.7 million people.
- Lending jumped 68%, reaching \$12.2 billion.

But the thing that truly separates SoFi from the pack is its bank charter.

What's that mean? A bank charter is official permission to run as a real bank. It lets SoFi pay for its loans using deposits from its own customers, instead of borrowing that money from somewhere else.

Deposits are cheaper than borrowed cash. So when rates stay high, SoFi holds up better than lenders forced to borrow from outside sources.



Data via SoFi Company Filings

There's also a smart loop built in. SoFi's 14.7 million members hold 22.2 million products between them, and each extra product a member picks up makes that person more profitable and easier to hang on to.

So why is the stock down roughly 32% this year? Two reasons:

One: Some investors felt the company's outlook for the year was more cautious than they were hoping for.

Two: A well-known short-seller went public betting against the shares.

- A short-seller is an investor who profits when a stock drops, so they've got every reason to talk it down.



Our take is that the market is pricing in the noise, not the numbers. By all accounts, SoFi is weathering the high-rate storm and actually growing.

Exit Trigger: If members stop joining and lending stops growing - not just a cautious forecast, but a genuine slowdown - SoFi's business could take a hit and investor returns could start to fall.

The Road Ahead

Nobody owns a crystal ball, but we can sketch the most likely paths for this Shift over the next two to three years.

It mainly hinges on two questions: Which way do rates go, and do borrowers keep paying their loans back?

The most likely path (around 50% odds): The Fed keeps rates high well into 2027, then trims them slowly. Both companies keep growing 30% to 40% and stay profitable.

- You won't see a quick pop in the stock - instead, you get rewarded as the businesses gradually grow into their value.

The Road Ahead: Three Scenarios

Research-backed estimates for this Shift over the next 2-3 years

50%

Base Case

Rates stay high into 2027, then come down slowly. Both companies keep growing 30-40%

The good path (around 30% odds): Inflation eases soon and the Fed starts cutting. All three of those rate pressures loosen up at the same time, which could lead to quick gains for the stocks.

The rough path (around 20% odds): Brazil's economy slows further, or U.S. shoppers start falling behind on payments. Loan losses chew into profits, and the stocks slide more before they bounce.

Again, nothing is guaranteed, and these percentages are research-backed estimates - but they're still estimates.

Knowing where this Shift could go will help you decide whether these opportunities make sense in your own portfolio.

and stay profitable - the stocks grow into their value.

30%

Bull Case

Inflation eases and the Fed starts cutting. All three rate pressures loosen at once, opening quick gains for the stocks.

20%

Bear Case

Brazil slows further or U.S. borrowers fall behind. Loan losses bite profits and the stocks slide before bouncing.

 Briefs Pro

Risks We're Watching

Rates could stay high even longer than people expect. That would keep the weight on both stocks and push back any recovery.

Loans could also sour. If Brazil keeps slowing, Nu's losses could grow.

- American borrowers could start to struggle as well, and SoFi would feel that first, inside its loan book.

For Nu specifically, currency swings are a real risk. Since it reports its results in U.S. dollars, a weaker Brazilian currency can pull its numbers down even when the business is doing just fine - which might scare some investors out of the stock.

And remember, these are growth stocks - they can swing hard both ways. One small miss can spark a big drop.

The Takeaway

The rate cuts have stopped, and the market is punishing the whole lending group - including two companies that are growing fast and earning real money.

SoFi's sales climbed 41% while its stock fell roughly 32%. Nu's profit rose 41% while its shares dropped about 24%. The only thing that's really different now is the price tag.

In the end, this is a long-term Shift. The market handed these two a discount for reasons that have little to do with how they're performing - and that's exactly the kind of gap patient investors tend to find worth a closer look.



- Briefs Finance Team

*The Briefs Finance Team often invests in the same stocks and assets we cover.

Why? Because we believe in practicing what we preach (and preaching what we practice).

But keep in mind: We're not financial advisors. Everything we provide is for education. You've got to do your own due diligence and think about what makes sense for your own financial situation. Investing has risks.

You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.